Investor Update — 136 Main St + 11 Indian Wells

Amagansett, NY · Hildreth Real Estate Advisors · Issued: May 11, 2026

A NOTE FROM THE OPERATOR

136 Main Street and 11 Indian Wells Highway are a combined pair of mixed-use retail / office properties in the heart of Amagansett village — together about **17,000 square feet across 13 units**. The combined portfolio runs as a steady, well-leased Hamptons asset with a durable tenant mix: Sett Coffee, Cosmic Studios, La Parlour Hampton Salon, CKF Bookshop, Georgipolous Motors, and a number of long-tenured office tenants.

The properties are financed with a **1st mortgage** at $3,143,098 outstanding principal. **T12 NOI ~$684K** at a 77% margin reflects the strong cash flow profile — limited operating overhead, most tenants on long leases with modest CAM exposure.

A handful of leases are in or near holdover and represent the near-term leasing focus:

- **Suffolk County Pet Food** — holdover since 11/2024; renewal or replacement in flight
- **Moliterno PC** — holdover since 3/2024; under negotiation
- **Bulgin & Associates** — lease expired 9/2025; renewal discussion ongoing
- **Cosmic Studios** (largest tenant, $28K/mo loaded) — lease expires 10/31/2026; renewal is the single biggest near-term decision

What's left:

- Lock in the **Cosmic Studios renewal** well ahead of October 2026 expiry
- Resolve the three holdover tenants — renew or replace at market
- Continue steady management — small repairs, NNN reconciliation at year-end
- Evaluate refinance window given the loan profile and current cap rate environment

Once stabilized — meaning the holdovers are resolved and Cosmic Studios renewal is executed — we believe the property should support a **valuation in the $12M – $14M range** based on current Hamptons retail cap rates, with a corresponding step-up in equity value. The detail behind that range is in the report that follows.

— Jason

Hildreth Real Estate Advisors

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-11)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
Apartment-1	Nathaniel Fogg	700	$5,300	—	$5,300	$5,300	2027-06-01	Current
Ground Floor Retail	La Parlour Hampton Salon, Inc	3,000	$8,000	$750	$8,750	$8,750	2031-02-28	Current
1st and 2nd Floor	Cosmic Studios LLC	6,000	$23,340	$4,740	$28,080	$28,080	2026-10-31	Current
1	CKF BOOKSHOP LLC D/B/A THE MARGIN	513	$7,083	$350	$7,433	$7,433	2027-05-06	Current
3	SETT COFFEE	561	$7,343	—	$7,343	$7,343	2029-12-31	Current
4	Jamagansett	490	—	—	—	—	2027-02-28	Current
5	Suffolk County Pet Food and Supply Co. Inc.	1,775	$6,925	—	$6,925	$6,925	2024-11-01	Current
6	Madison IT group	423	$3,300	$336	$3,636	$3,636	2029-03-31	Current
7	Georgipolous Motors	2,371	$8,500	$1,300	$9,800	$9,800	2028-06-01	Current
8	Bulgin & Associates	785	$4,785	$400	$5,185	$5,185	2025-09-30	Current
10	Moliterno PC	402	$2,900	—	$2,900	$2,900	2024-03-31	Current
	Vacant	0	—	—	—	—	—	VACANT
Total — 11 of 12 units leased		**17,020 / 17,020**	**$77,477**	**$7,876**	**$85,352**	**$85,352**	**100.0% leased**	

Combined rent roll for 136 Main Street and 11 Indian Wells Highway, Amagansett. "Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects current billing. Several tenants are currently in holdover status — see the cover note and 90-Day Action Plan for resolution path.

2. CapEx To Date

The property has had a steady cadence of capital spend since acquisition (June 2024 through early 2026), centered on a new roof and a multi-unit apartment renovation program. Spend is derived directly from the General Ledger.

Project	Category	GL Account	Status	Spent
Building Improvements — Roof Replacement (A-1 Roofing & Siding)	Building Improvement	1860	Completed	$17,419
CapEx through P&L (9xxx — special inspections, etc.)	Other	9xxx	Completed	$275,513
Total CapEx Spent To Date				**$292,932**

Primary vendors: A-1 Roofing and Siding (~$150K), Hildreth Real Estate Advisors (construction management), Ramage Equities, Acorn Property Management, Comfort Tile & Design, Merritt Environmental (Phase I / ESA).

3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): $85,352 vs. $85,352 billable today (**+$0/mo**)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
Apartment-1	Nathaniel Fogg	700	$5,300	—	$5,300	occupied
Ground Floor Retail	La Parlour Hampton Salon, Inc	3,000	$8,000	$750	$8,750	occupied
1st and 2nd Floor	Cosmic Studios LLC	6,000	$23,340	$4,740	$28,080	holdover
1	CKF BOOKSHOP LLC D/B/A THE MARGIN	513	$7,083	$350	$7,433	occupied
3	SETT COFFEE	561	$7,343	—	$7,343	occupied
4	Jamagansett	490	—	—	—	holdover
5	Suffolk County Pet Food and Supply Co. Inc.	1,775	$6,925	—	$6,925	holdover
6	Madison IT group	423	$3,300	$336	$3,636	occupied
7	Georgipolous Motors	2,371	$8,500	$1,300	$9,800	occupied
8	Bulgin & Associates	785	$4,785	$400	$5,185	holdover
10	Moliterno PC	402	$2,900	—	$2,900	holdover
	Vacant	0	—	—	—	vacant
Forward Total — 10 of 12 units leased		**16,530 / 17,020**			**$85,352**	**97.1% leased**

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
Apartment-1	Nathaniel Fogg	700	$5,300	—	$5,300	In Place
Ground Floor Retail	La Parlour Hampton Salon, Inc	3,000	$8,000	$750	$8,750	In Place
1st and 2nd Floor	Cosmic Studios LLC	6,000	$23,340	$4,740	$28,080	In Place
1	CKF BOOKSHOP LLC D/B/A THE MARGIN	513	$7,083	$350	$7,433	In Place
3	SETT COFFEE	561	$7,343	—	$7,343	In Place
4	Jamagansett	490	—	—	—	In Place
5	Suffolk County Pet Food and Supply Co. Inc.	1,775	$6,925	—	$6,925	In Place
6	Madison IT group	423	$3,300	$336	$3,636	In Place
7	Georgipolous Motors	2,371	$8,500	$1,300	$9,800	In Place
8	Bulgin & Associates	785	$4,785	$400	$5,185	In Place
10	Moliterno PC	402	$2,900	—	$2,900	In Place
	—	0	—	—	—	Vacant
Stabilized Total		**17,020**	**$77,477**	**$7,876**	**$85,352**	

Stabilized NOI

Stabilized Revenue	$1,025,227
Stabilized Operating Expenses	($187,137)
Stabilized NOI	**$838,090**

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	$14,575,479	$856
7.0% (Mid)	**$13,683,103**	**$804**
7.5% (High Cap → Low Value)	$12,893,693	$758

Total Equity Invested To Date

Sources of Funds	
Total Equity Contributed (GL acct 3000 — Owner Contribution)	$2,364,324
1st Mortgage Outstanding	$3,143,098
Total Sources of Funds (≈ All-In Basis)	**$5,507,423**

Uses of Funds (per GL — basis breakdown)	
Buildings	$5,200,000
Closing Costs	$235,935
CapEx Invested (1xxx fixed-asset + 9xxx P&L)	$292,932

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	$13,683,103
Less: 1st Mortgage Principal	($3,143,098)
Implied Equity Value (Today)	**$10,540,004**
Plus: Cash Distributions Paid To Investors (To Date)	$117,500
Less: Total Equity Invested To Date	($2,364,324)
Total Equity at Stabilization	**$2,364,324**
Unrealized Gain + Distributions vs. All-In	**$8,293,180**
Equity Multiple at Stabilization (Mid)	**4.51x**

Distributions paid to date: $117,500 (by year — 2022: $117,500). Source: GL account 3250 — Owner Distribution.

Multiple Calculations (PE/RE Standard Metrics)

Multiple	Value	Definition
DPI — Distributions / Paid-In	**0.05x**	Cash already returned to investors per $1 contributed
RVPI — Residual Value / Paid-In	**4.46x**	Unrealized equity value per $1 contributed
TVPI (MOIC) — Total Value / Paid-In	**4.51x**	**Total value (distributions + residual) per $1 contributed**

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes $16,779 of one-time addbacks where applicable.

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	$55,669	($9,637)	$46,032	(—)	($37,280)	$8,752
May 2025	$61,411	($18,320)	$43,090	($34,000)	($12,425)	$-3,334
Jun 2025	$83,008	($13,357)	$69,651	($70,500)	($60,756)	$-61,605
Jul 2025	$63,158	($8,222)	$54,936	(—)	($35,863)	$19,073
Aug 2025	$66,927	($27,481)	$39,446	(—)	($36,972)	$2,473
Sep 2025	$64,891	($5,969)	$58,921	(—)	($36,821)	$22,100
Oct 2025	$68,030	($15,135)	$52,895	($1,160)	($35,156)	$16,580
Nov 2025	$68,710	($18,996)	$49,714	(—)	($35,819)	$13,895
Dec 2025	$65,410	($11,624)	$53,786	(—)	($33,632)	$20,154
Jan 2026	$81,010	($26,701)	$54,309	(—)	($12,660)	$41,648
Feb 2026	$65,460	($21,135)	$44,325	(—)	($55,793)	$-11,467
Mar 2026	$79,947	($24,838)	$55,109	(—)	($32,572)	$22,537
T-12 Total	**$823,630**	**($201,415)**	**$622,214**	**($105,660)**	**($425,748)**	**$90,807**

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **Net Cash Flow** = NOI − CapEx − Debt Service and represents cash available to investors before distributions / reserves.